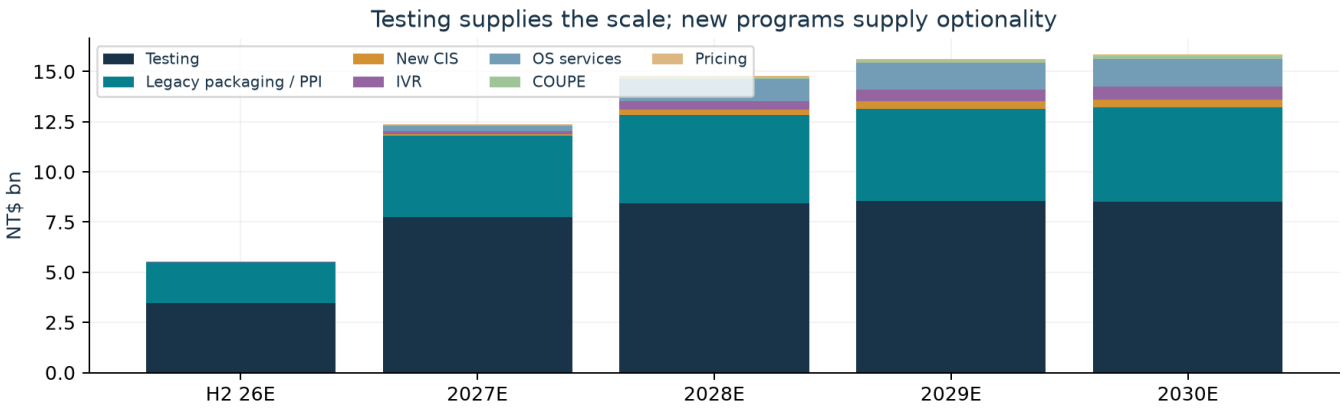
Xintec | Earning a larger place in TSMC’s factory

3374 - Taipei Exchange | Full deep dive | October 12, 2026 | Framework 8.0

Analytical Base	Classification	Q4 2027 model price target
43 / 60 = 72%	Watchlist; beneficiary / qualification bottleneck candidate	NT$229.38

The case: Xintec is becoming a larger testing and wafer-processing partner. Its testing business is already growing; 12-inch image-sensor packaging, IVR backside metallization and possible advanced-packaging work offer additional routes. The strength is qualified execution inside an important customer ecosystem. The unresolved question is how much economic value Xintec captures after equipment costs and customer bargaining power.



ASTRA active forecast; NT$ bn. 2026 is H2 only. All later periods are model assumptions; no analyst targets imported.

Initial judgment: a credible growth beneficiary, with insufficient evidence for an architecture-independent monopoly. The model gives credible breadcrumbs active earnings credit today. It also charges the depreciation of a capacity plan built ahead of qualification.

Writing snapshot	Value / definition
Price	NT$498.50, October 5 close; Yahoo 3374.TWO, corroborated by public history.
Shares / market cap	271.364316M last exact issued count; ~NT$135.3bn snapshot market cap. Model uses272.040M diluted.
Ownership status	Coverage addition; the user has not specified whether this stock is held.
Financial cutoff	Q2 2026 reviewed statements; September monthly revenue now reported. Q3 product split and operating profit remain estimates.

New OS evidence: most of the ramp was already included

The October 12 attributed broker roundup [S15] forecasts Xintec oS capacity of 10,000 wafers/month in 2027 and 40,000 in 2028. This is one source chain with an unidentified broker, not management guidance or accepted customer output. Year-end versus averaged capacity, process scope and wafer fees remain unresolved.

The reference already grows raw OS service revenue from NT$799.5M in 2027 to NT$2,808M in 2028, or 3.512x. A4x endpoint on the same 2027 denominator is NT$3,198M, so only NT$390M remains above reference. The wafer ratio is used as a LOW-confidence service-output proxy, not proof of 4x total company revenue.

OS residual bridge	2028 amount / input
Reference raw OS	2,808.000
Conditional total on4x799.5	3,198.000
Conditional increment	390.000
Unconditional upper-output probability	30% within the existing35% OS realization pool; not multiplied again
Weighted incremental revenue	117.000
Cash production cost at60%	70.200
Manufacturing D&A at10%	11.700
Gross profit	35.100
Engineering/support expense at5%	5.850
Operating profit	29.250
Equipment cash reserve at50%	58.500

Existing 35% scope overlap has already been removed from raw OS and is not removed again. COUPE, CIS/IVR, testing, existing pricing and all legacy revenue paths are unchanged. Only this non-overlapping residual enters at 30%;2029 receives half the 13.8889% residual ratio and 2030 receives zero as reference capacity absorbs the signal. This is an upper-output state inside existing OS realization; no independent factory is added.

New revenue earns 30% gross margin after 60% cash production cost and 10% incremental manufacturing D&A, then pays 5% engineering/support expense. Its 25% operating contribution does not receive another operating-leverage bonus. The 50% equipment-cash reserve is an explicit five-year life proxy for the 10% D&A, not a second expense in valuation. NWC, taxes and dividends follow the existing cash model, whose minimum remaining cash is NT$1,414.9M. No new financing or shares are introduced.

Quarter	Weighted revenue	GP	Support opex	OP
Q4 2027	0.000	0.000	0.000	0.000
Q1 2028	26.000	7.800	1.300	6.500

Quarter	Weighted revenue	GP	Support opex	OP
Q2 2028	29.250	8.775	1.463	7.312
Q3 2028	30.875	9.262	1.544	7.719
Q4 2028	30.875	9.262	1.544	7.719

Active Q4 2027-Q3 2028 incremental revenue is NT$86.125M and operating profit NT$21.53125M. At the retained 20x F4Q operating-profit method and 272.040M diluted shares, Q4 2027 target changes from NT$227.8009401446 to NT$229.3838875053 (+0.6948818%). Both Base scores remain 72. No market-price movement or horizon roll is counted as this economic revision.

Next tests: a dated original broker note, process identity, installed/qualified good-wafer throughput, paid service fees, customer acceptance and funded equipment. Delay or a mismatched capacity denominator reduces/shifts the residual; evidence of sustained qualified output can increase confidence within the coherent OS state probabilities.

Translated source excerpt [S15]: the broker roundup states 2027 capacity 10,000 wafers/month and 2028 capacity 40,000 wafers/month. The original full text is retained in the source register; no source image was attached and no screenshot is fabricated.

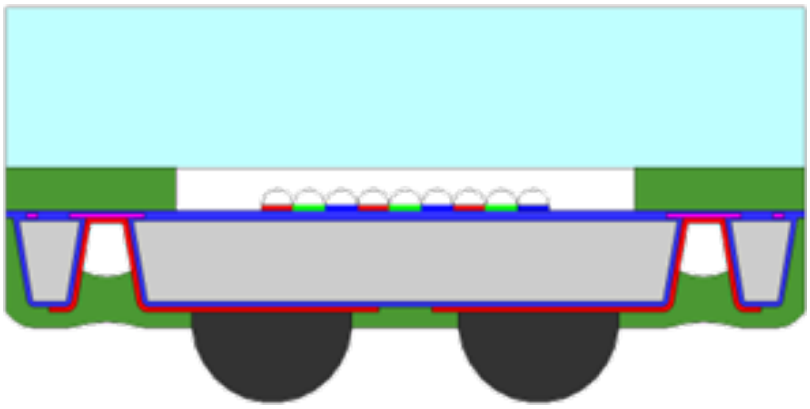
What Xintec actually sells



ASTRA process map. Customer chip value does not equal Xintec service revenue.

Xintec provides wafer-level packaging and testing. Its process know-how includes wafer thinning, redistribution, through-silicon vias and sensor packaging. It monetizes processing steps, capacity and customer qualification. It does not receive the full price of a GPU, optical module, laser or substrate merely because its process touches that supply chain. [S1-S4]

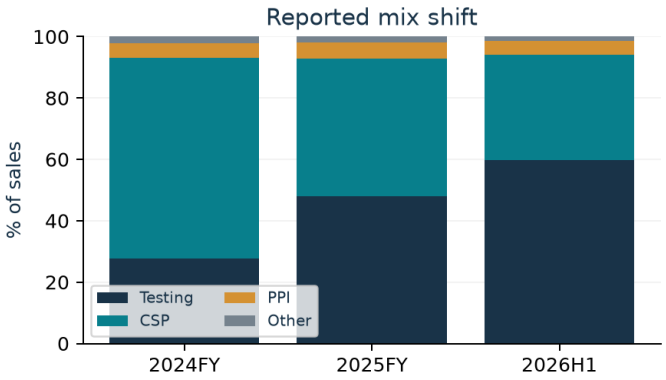
Business	Current evidence	Economic exposure
Testing	NT$1,363.035M Q2 revenue; 501k 12-inch-equivalent wafers.	Effective service fee ~NT$2,721/wafer; mix and test time matter.
CSP / PPI / other	NT$821.644M Q2 combined revenue; 72k 8-inch-equivalent packaging wafers.	CIS, sensing and post-passivation work; consumer seasonality remains.
12-inch CIS / IVR	CIS timing2027-28; IVR validation/pilot targeted at end2026.	New processing content, limited by qualification and shared equipment.
OS / COUPE	Channel and ecosystem breadcrumbs; no issuer-disclosed revenue line.	Only incremental service economics are assigned in the model.

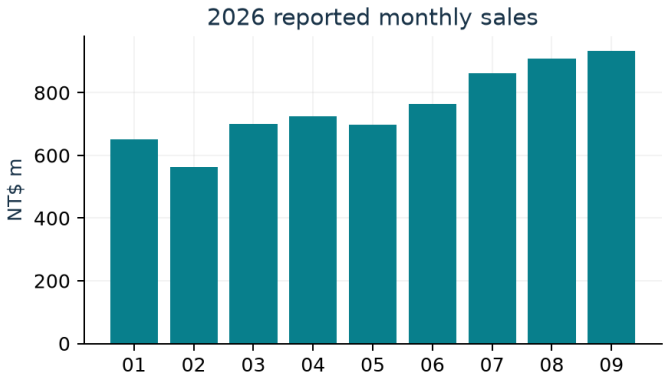


Issuer optical-sensor TSV cross-section [S4]. It demonstrates sensor packaging; it does not establish a CoWoS or CPO award.

Terminology matters: sensor TSV capability is useful process experience, but is not evidence that Xintec owns a leading-edge interposer process. The TSMC relationship can lower the commercial barrier to work without eliminating yield, qualification or competing-supplier risk.

The reported recovery is measurable





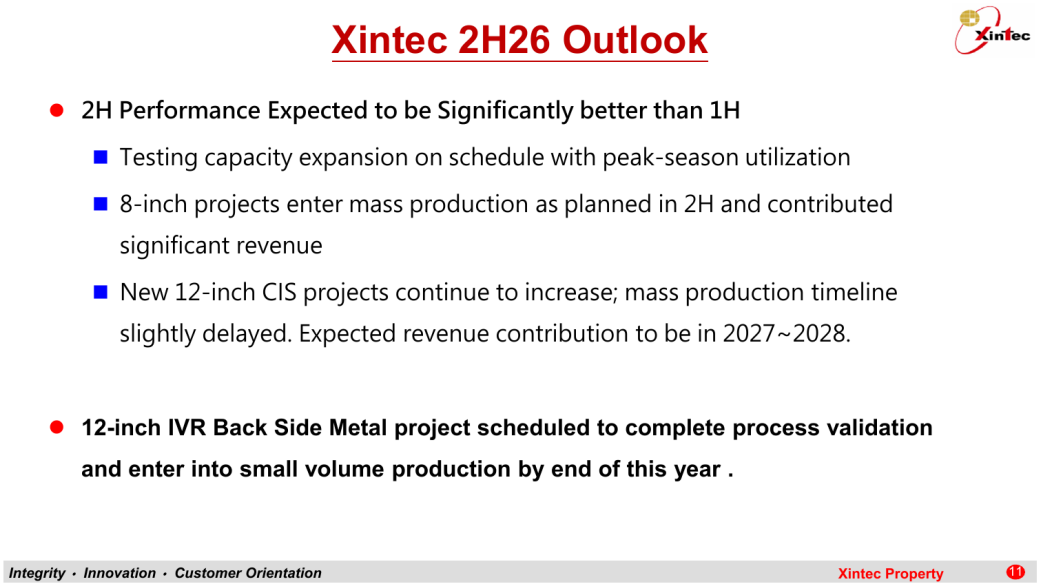
Primary filings and issuer monthly revenue [S1-S3,S5]. Actual periods; mix percentages share a common revenue denominator.

Period	Sales, NT$m	Gross margin	Statutory OP, NT$m	Net income, NT$m
2024FY	7,059.9	35.3%	1,975.7	1,669.7
2025FY	7,238.5	27.4%	1,591.1	1,353.5
2026Q1	1,913.7	29.7%	452.0	384.4
2026Q2	2,184.7	27.7%	486.5	396.3
2026H1	4,098.4	28.6%	938.6	780.7

Q2 revenue increased 42.2% year over year, while gross margin improved to 27.7% from 15.6%. The sequential margin decline from 29.7% is a reminder that more installed testing equipment can raise cost before throughput catches up. H1 testing revenue rose 109%; CSP revenue declined 15%. Those are different businesses moving in different directions. [S1,S3]

Issuer September revenue is NT$932.243M (+21.33% year on year), replacing the old NT$920M assumption. July-August-September sum to NT$2,702.085M actual revenue. The prior testing/core proportions estimate the product split at unchanged fees; inferred wafer equivalents are not disclosed throughput. Q3 operating profit remains a forecast; no full quarterly financials are claimed. The mirrored August preliminary net income of NT$193M is not treated as a reviewed quarter or as operating profit. [S5,S12]

Management’s latest guide: strong H2, uneven qualification

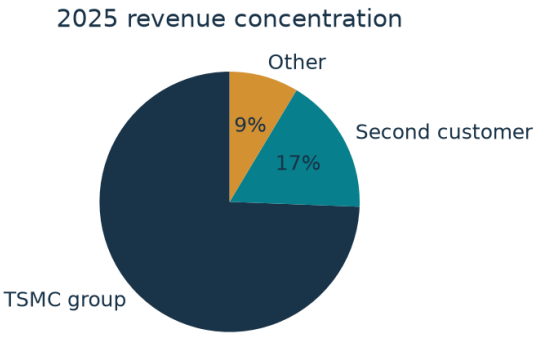


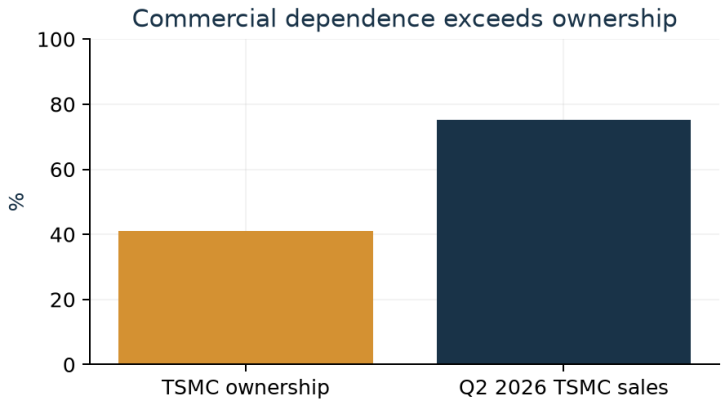
Original August 14,2026 investor presentation, page 11 [S3]. Qualitative management outlook, not a numerical revenue or margin guide.

Management statement	Model treatment
Testing expansion on schedule; peak season utilization	H2 testing wafer-volume step-up already in reference.
8-inch projects enter mass production in H2	Legacy packaging contribution rises in H2; seasonal shape retained.
12-inch CIS timing slightly delayed to2027-28	65% probability on a bounded new CIS service stream; no full immediate ramp.
IVR backside-metal validation/pilot by end2026	55% probability on shared 12-inch slots; meaningful modeled volume begins2027.

The February 10 deck and August 14 deck were both reviewed. The later CIS timing supersedes the earlier general ramp language. Full primary call transcripts were not recovered; the forecast therefore relies on the official decks and separately identified reporting of the Q&A. No invented transcript quotation or numerical guidance is used.

The TSMC connection: access and dependence





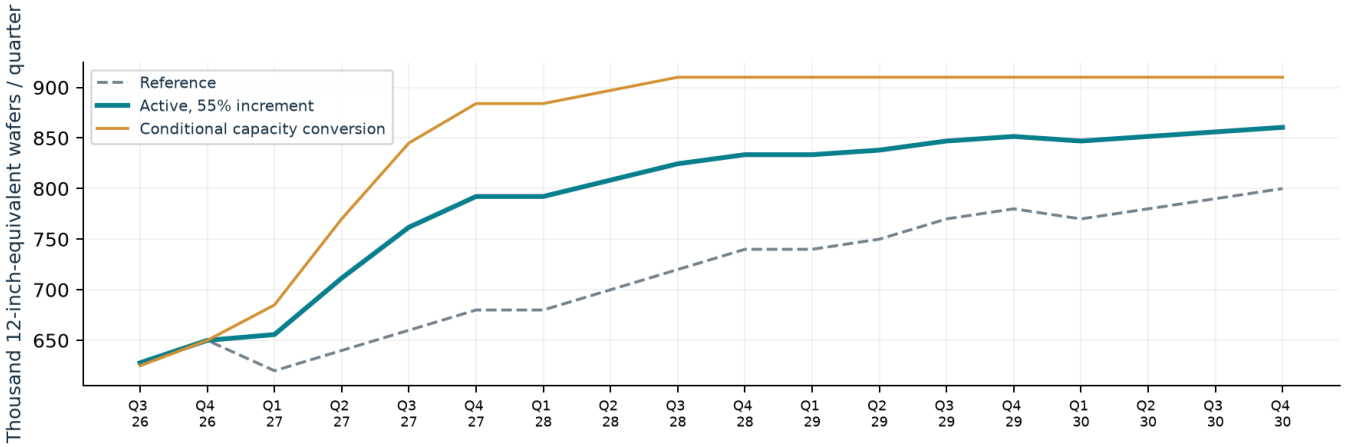
Annual report ownership and customer concentration; Q2 related-party revenue [S1,S2]. Second customer rounded 17%; residual 8.6% is approximate.

TSMC owns 41.01% of Xintec, making it an investee/affiliate rather than a wholly owned subsidiary. TSMC Group supplied 74.4% of FY2025 revenue and 75.2% in Q2 2026. Customer concentration is an economic constraint as well as a route to demand. [S1,S2]

A preferred partner can gain volume, more process assignments and better utilization. A dominant customer can also control pricing, require spare capacity, diversify suppliers or retain higher-value operations internally. The model therefore separates additional throughput from any price premium. It does not assume the owner-customer relationship creates monopoly pricing.

Potential advantage	Counterweight	What resolves it
Qualification history and process integration	Customer can reallocate production	Repeat orders across products and disclosed sustained utilization.
Expansion backed by a large customer ecosystem	Equipment can precede accepted output	Installed tools, qualification date, loaded capacity and cash collection.
Broader applications within one relationship	Customer concentration remains	Revenue diversification measured on actual customer disclosures.

Testing: an auditable capacity-to-revenue bridge



Model wafer equivalents. The equipment report is a breadcrumb; the conversion to wafer capacity is an ASTRA assumption.

The September 30 Economic Daily report describes approximately 1,000 testers with roughly 400 more planned. I assign 55% to the incremental conversion endpoint: management-confirmed expansion and actual volume growth support the direction, while tool counts, loading and mix remain uncertain. These reports are one correlated evidence group, not multiple confirmations. [S3,S7]

Bridge	Q4 2027 assumption
Q4 2026 planning baseline	650k testing wafer equivalents per quarter.
Extra400 / ~1000 tools	260k additional equivalents at unchanged productivity.
Ramp utilization	90% gives234k before overlap.
Growth already in reference	30k removed:680k reference less650k baseline.
Weighted increment	204k x55% =112.2k; active792.2k.
Fee / active testing sales	2,646 NT$/wafer; NT$2,096.2M.

Testing fees start near the Q2 implied fee and decline 2% annually before the separate scarcity-pricing overlay. The 400-tool report is not multiplied into the entire company. Different tester types, parallelism and test duration could change throughput materially; these are the highest-priority checks before raising the endpoint.

CIS and IVR: one wafer slot cannot be used twice



Issuer customized-service illustration: TSV with backside copper for power/ground and heat-dissipation applications [S4]. A technology illustration, not an IVR customer award.

The annual report planned 12-inch CSP capacity of 2,000 wafers/month by Q3 2026. The active model shares this capacity equally between CIS and IVR rather than giving each program the full plant. Model-only expansion to 3,000/month in 2028 is included in the capital plan. [S2,S3]

Q4 2027 physical bridge	New CIS	IVR processing
Quarterly shared slots	3,000	3,000
Utilization / realization proxy	85%	85%
Service fee per wafer, assumption	NT$36,000	NT$50,000
Overlap / displaced core work	25% deduction	No additional pool duplication
Conditional revenue, NT$m	68.8	127.5
Probability	65%	55%
Active revenue, NT$m	44.8	70.1

The fees are bounded modeling proxies, not quoted customer contracts. Their relative scale reflects more processing content than a simple test pass. These assumptions need replacement when the service scope, cycle time or actual fees emerge. Each fee declines 3% annually after 2027. A qualification failure reduces revenue; depreciation on the assumed investment plan remains a cost.

Management targets IVR process validation at the end of 2026; a pilot is not volume revenue. CIS has already experienced a delay. Raising either probability requires process acceptance and visible loading, not another mention of the same development project.

OS outsourcing: model the breadcrumb, control the scope

September 30 supply-chain reporting describes a possible 20% allocation of TSMC OS-stage orders and related capacity growth described as 2.5 times. The denominator, service content and whether the wording means an endpoint or an increment are not sufficiently defined to multiply total Xintec sales. I assign 35% to a bounded incremental service case. [S7]

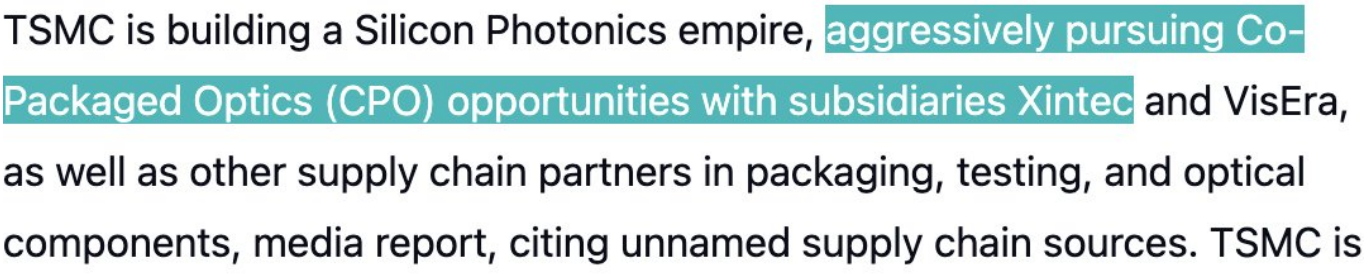
Analyst proxy	2027	2028
Eligible incremental process-asset pool	NT$2,000M	NT$4,000M
Revenue / productive assets	1.2x annually	1.2x annually
Quarterly loading range	15% to85%	80% to95%
Overlap with testing / 12-inch work	35% removed	35% removed
Outcome probability	35%	35%
Active annual OS revenue	279.8M	1,099.8M

This proxy uses a capital-productivity boundary rather than pretending a precise package fee or customer order exists. The 1.2x turnover is above the current overall asset-productivity rate of roughly 0.9x, representing better loading; it remains a low-confidence estimate. The asset pool is part of the company capital plan, not an additional capex layer to stack onto it.

The revenue contribution begins in 2027 and gains weight in 2028. Shared factory costs, incremental production costs and ordinary opex are charged. A disclosed narrower processing scope would reduce the endpoint even if the headline 20% allocation proved directionally correct.

Probability discipline	Pre-committed update
Raise35% toward55%	Independent customer/process identification plus tools installed and accepted.
Lower toward15%	Equipment deferred, reported allocation narrower, or Q2 2027 throughput inconsistent.
Do not double-count	CoWoS capacity, OS allocation and optical-engine adoption can describe the same manufacturing program.

COUPE: Serenity's signal has active, bounded credit



Original image attached to Serenity's June 5 post [S8]. The quoted language is attributed to unnamed supply-chain sources, not TSMC management.

Serenity identified Xintec as a possible beneficiary of TSMC's optical integration. He explicitly characterized the volume thesis as high-level and speculative. That distinction improves the model: a credible early signal receives a probability, while unknown service content stays visible. [S8]

TSMC's April 22 symposium release, published April 23, independently describes COUPE-on-substrate production beginning in 2026. It does not name Xintec as the awarded supplier. The technology roadmap supports the addressable opportunity; supplier allocation remains a separate proposition. [S9]

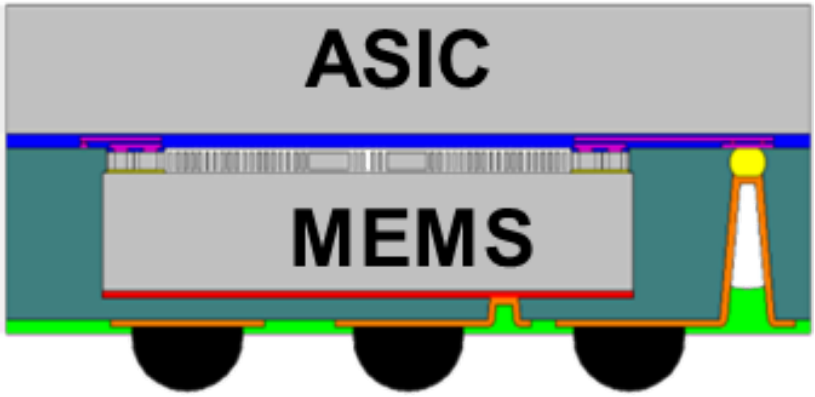
Model choice	Treatment
Incremental service value	5-10% of scoped OS revenue inH2 2027;15-30% through2028. Model assumption, not optical-engine ASP.
Conditional probability	25% for optical work conditional on OS-platform success;35% x25% =8.75% joint.
Active Q4 2027 optical sales	NT$2.9M; low confidence.
Active2028 optical sales	NT$56.1M.
Overlap control	Value-added optical work on the same OS cohort; no second plant, laser market or transceiver TAM added.

This is a small contribution because the modeled paid processing scope is small and uncertain, not because official confirmation is absent. Greater verified process content or a more credible volume proxy can increase the endpoint before a formal production announcement.

The addressable market: service wallet, not system value

TAM layer	Demand vector	Company-specific treatment
Current / infrastructure	Wafer testing, sensor CSP and PPI	Revenue per processed wafer x qualified throughput.2028 core plus testing modelNT$12.83bn.
Adjacent / physical AI	Automotive sensing, smart glasses and higher power density	CIS and IVR probabilities65%/55% already applied. No additional generic50% multiplier.
New architecture	Advanced package outsourcing and COUPE	35% OS case and8.75% joint optical case. No extra20% TAM-layer weighting on top.

The framework's expansion lens is applied to opportunity discovery, then replaced by explicit company-level probabilities. Applying the generic phase weights again would count uncertainty twice. Broad packaging or photonics market forecasts help test direction; they are not Xintec orders.

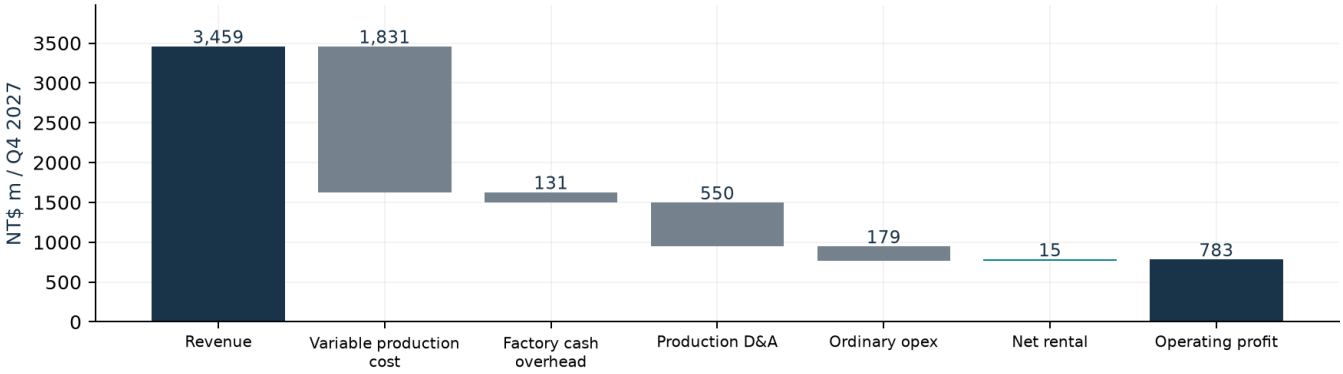


Issuer MEMS packaging illustration [S4]. Existing sensing capability supports an adjacency; it does not establish a new customer or unit forecast.

Competitive boundary. The annual report names WLCSP, Huatian and STMicroelectronics in wafer-level packaging. ASE and Amkor are adjacent advanced-packaging alternatives. Their existence prevents a sole-source assumption. Each product needs its own qualification and economics; industry capacity shortage does not guarantee that all additional packaging value reaches Xintec. [S2,S10]

Duration. The opportunity can span several years as testing,12-inch sensors and IVR ramp at different times. Yet a processing service can normalize when competing capacity qualifies. The long-range model therefore retains fee erosion and capital costs; revenue growth alone does not produce a perpetual margin expansion.

Revenue has to survive a production-cost bridge

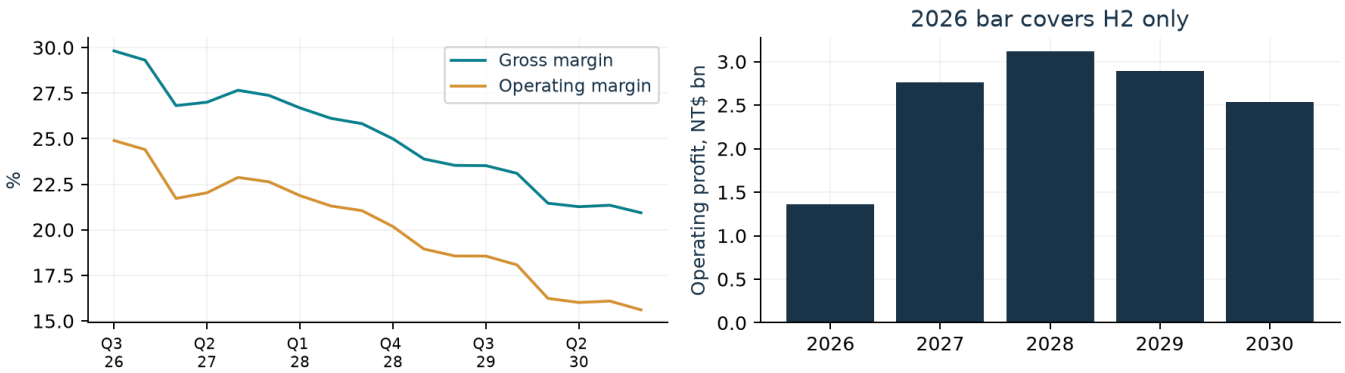


Q4 2027 active model; NT$m. Production D&A is a cost in operating profit and is never added back in valuation.

Cost bridge	Q2 actual calibration	Q4 2027 model
Revenue	2,184.7	3,458.5
Variable production cost	1,158.1	1,831.3
Factory cash overhead	113.2	130.5
Manufacturing D&A	309.242	550.0
Gross profit	604.213	946.7
Ordinary opex	132.549	178.8
Other operating income, net rental	14.873	14.873
Statutory operating profit	486.537	782.7

Product margins are modeled contributions before shared fixed costs; the new OS residual separately incurs 10% manufacturing D&A and 5% support expense: testing 50%, legacy/CIS42%, IVR45%, OS40%, optical 45%. Source statements do not disclose these product margins. The allocation is calibrated exactly to Q2 gross profit, with fixed cash overhead as the residual. Factory overhead grows 10% yearly; fixed opex 12%; variable opex is 2.5% of sales.

Pricing power and the investment bill



ASTRA forecast. Gross and operating margins reconcile to the same model used in Excel.

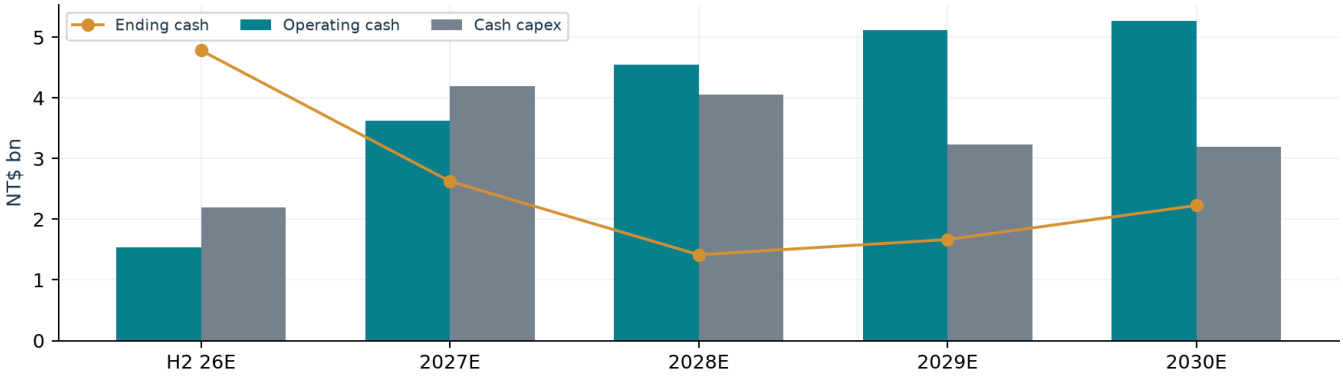
Longer waits can give a supplier pricing power, but Xintec's dominant customer and unknown contract repricing terms limit the inference. The active overlay assigns 30% probability to an 8% premium on the new/repriceable portion of testing and OS revenue. Eligible revenue rises to 35% inQ4 2027, then 40% in 2028. Twenty percent of premium revenue is absorbed by additional service/ramp cost.

Q4 2027 pricing bridge	NT$m / assumption
Eligible base	774.3
Conditional premium at8%	61.9
Active premium at30%	18.6
Contribution after20% cost	14.9
Extra variable opex at2.5%	0.5

The scarcity premium is incremental to a 2% annual testing-fee erosion assumption. It does not reprice all existing revenue, and its contribution does not separately receive another utilization-margin bonus.

Common at-risk capital plan. Manufacturing D&A reaches NT$1.96 bn in 2027 and NT$2.52 bn in 2028. Scenario variants assume this investment is undertaken ahead of customer conversion. Variable production costs and opex change with revenue, but unused capacity remains costly. This is an analyst capital-plan assumption, not company guidance. An alternative decision to cancel capex would require a different operating plan.

Balance sheet, cash requirements and shares



Planning proxy, not guidance. H2 2026 begins with June cash; subsequent bars are full-year estimates.

June30,2026 actual	NT$m
Cash	6,124.816
Bank debt carrying / nominal principal	3,974.337 / 4,000.000
Lease liabilities	122.240
Equipment payables / purchase commitments	1,613.591 / 923.482
Dividend payable	678.411
Net cash after bank debt and leases	2,028.239

H1 operating cash flow was NT$1,650.325M against NT$1,617.766M cash PPE purchases and NT$25.715M intangible purchases. Almost all operating cash was reinvested. Equipment payable balances are obligations; PPE additions are not the same as cash capex. [S1]

Year	Cash capex	Ending cash	Diluted shares, M
2026 H2	2,200.0	4,783.2	272.040
2027	4,200.0	2,625.2	272.040
2028	4,058.5	1,414.9	272.040
2029	3,238.1	1,665.9	272.040
2030	3,200.0	2,227.6	272.040

The cash proxy uses 18% of annual sales for net working capital,20% cash tax, a 40% earnings dividend from 2027 and NT$732M annual principal repayment as a planning proxy. No additional equity is assumed; a 50% 2027-28 capex overrun would exhaust the modeled cash buffer without financing or payout cuts. No net-cash premium is added to the operating-profit price target.

A transparent 72% analytical Base

Category	Score	Evidence
Core business	15 / 20	Qualified wafer-processing expertise and customer access; no demonstrated monopoly or exclusive CPO award.
Cycle	8 / 10	Testing ramp established, newer platforms early; consumer exposure and qualification remain uneven.
TAM expansion	8 / 10	Multiple adjacent service pools, but dollars must be earned through specific processing content.
Catalysts	4 / 5	September revenue, Q3 results, year-end IVR validation and2027 loading milestones.
Macro	8 / 10	AI packaging, power density and optical adoption support investment; Taiwan operational exposure persists.
Alpha	4 / 5	Local-language reporting and process-scope differentiation; public flow-through data remain incomplete.
Risks	-4	Four separate one-point risk classes below; none hidden in a vague blanket discount.
TOTAL	43 / 60	72% after lattice rounding; Watchlist band.

Scored risk class	Penalty	What can go wrong
Concentration	-1	TSMC controls most demand; the second customer raises top-two exposure to about91%.
Competition	-1	Dual sourcing, internal customer capacity and competing packagers limit capture and fees.
Execution	-1	CIS delay, IVR/OS qualification, yield and unused equipment can suppress returns.
Balance sheet / capital intensity	-1	Equipment payables, future capex and dividends consume cash before new projects mature.

Taiwan utilities/geopolitics and FX are tracked inside macro, rather than adding an unscored fifth risk. No governance penalty is added without specific evidence; related-party economics are already addressed under concentration. Base measures business quality and thesis confidence, not the current share price. Protected Excel Base 72 and analytical Base 72 remain unchanged.

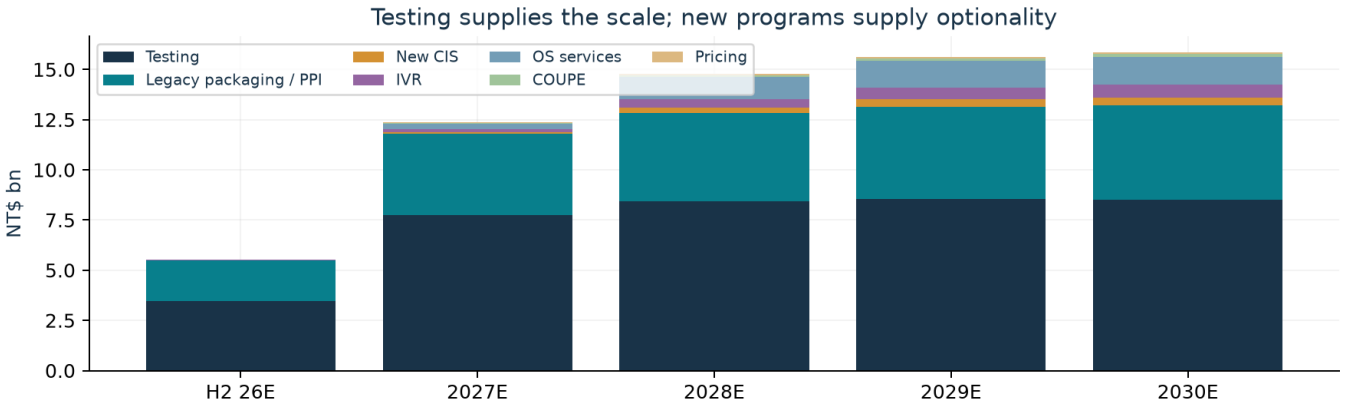
Probability ledger: what is in the active model

Driver	Probability	Bounded endpoint / overlap	Evidence / timing
Testing	55%	400-tool incremental conversion, after embedded baseline growth	S3/S7; management direction + channel size; 2027-28; cost50% of sales
New CIS	65%	Shared slots x utilization xNT$36k, less25% overlap	S2/S3; projects exist, timing already delayed; 2027-28; cost58%
IVR	55%	Shared slots x utilization xNT$50k	S3; validation/pilot plan, service fee proxy; 2027-28; cost55%
OS	35%	Eligible assets x1.2 turnover x loading x65% clean scope	S7; one channel cluster, denominator unresolved; 2027-28; cost60%
COUPE	8.75% joint	35% OS x25% conditional optical adoption	S8/S9; roadmap plus attributed supplier thesis; H2 2027+; cost55%
Pricing	30%	8% premium on eligible testing/OS service sales	S3/S7 + economic inference; no announced rise; New/repriceable sales;20% extra cost

Active increment	2027 sales	2028 sales	Q4 2027 sales
Testing above reference	849.9	1,085.3	296.9
CIS	94.8	275.8	44.8
IVR	148.5	432.1	70.1
OS	279.8	1,099.8	116.0
COUPE	4.0	56.1	2.9
Pricing	53.8	90.6	18.6

Amounts NT$m. Probabilities are ASTRA judgments, not source-authored percentages. Shared channel reports are correlated; the component weights are marginal outcome weights, not a claim of independent events. Optical work is explicitly conditional on OS success. Every material identified breadcrumb receives active credit; no generic official-confirmation gate is applied.

Quarterly operating model | 2026-2028



Same active forecast as the model tab; numeric quarterly detail below. 2026 graphic is H2 only.

Quarter / status	Revenue, NT$m	OP margin	OP, NT$m	Driver / confidence
Q3 2026 revenue actual	2,702.1	24.9%	672.8	Testing / 8-inch; MED
Q4 2026 E	2,810.0	24.4%	685.7	Testing / 8-inch; MED
Q1 2027 E	2,697.5	21.7%	585.9	Testing + programs; LOW-MED
Q2 2027 E	2,932.6	22.0%	646.1	Testing + programs; LOW-MED
Q3 2027 E	3,281.7	22.9%	750.6	Testing + programs; LOW-MED
Q4 2027 E	3,458.5	22.6%	782.7	Testing + programs; LOW-MED
Q1 2028 E	3,496.0	21.9%	764.7	Programs / capex; LOW
Q2 2028 E	3,622.8	21.3%	771.9	Programs / capex; LOW
Q3 2028 E	3,804.3	21.1%	800.8	Programs / capex; LOW
Q4 2028 E	3,861.1	20.2%	779.0	Programs / capex; LOW

Q3 2026 consolidated sales are actual monthly totals including September. Product split, throughput, costs and operating profit remain estimates; all later quarters are forecasts. There is no reported numerical earnings guidance. In 2028 the model still grows revenue, but rising depreciation restrains the operating-margin benefit.

Quarterly operating model | 2029-2030

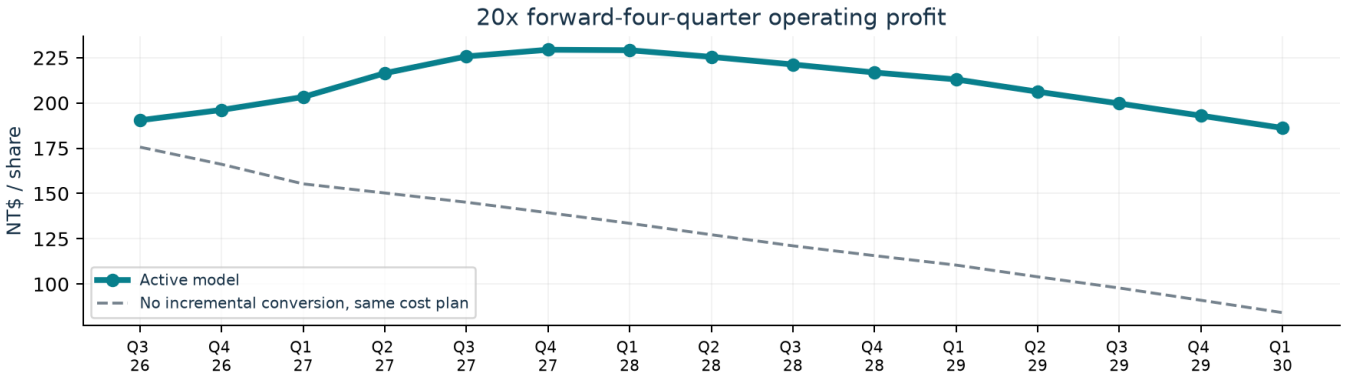
Quarter / status	Revenue, NT$m	OP margin	OP, NT$m	Confidence
Q1 2029 E	3,773.1	18.9%	714.8	LOW
Q2 2029 E	3,850.9	18.6%	714.8	LOW
Q3 2029 E	3,990.7	18.6%	740.6	LOW
Q4 2029 E	4,022.3	18.1%	727.0	LOW
Q1 2030 E	3,834.5	16.2%	622.6	LOW
Q2 2030 E	3,910.5	16.0%	626.1	LOW
Q3 2030 E	4,035.6	16.1%	649.2	LOW
Q4 2030 E	4,066.9	15.6%	634.8	LOW

Annual cross-check	Revenue, NT$m	Gross margin	OP, NT$m
2026 H2E	5,512.1	29.6%	1,358.5
2027 E	12,370.4	27.2%	2,765.3
2028 E	14,784.1	25.9%	3,116.4
2029 E	15,637.0	23.5%	2,897.2
2030 E	15,847.5	21.2%	2,532.8

The late-period profile assumes the reported 400-tester expansion is largely absorbed, testing fees erode, and new plant depreciation remains. It does not assume an endless sequence of new orders beyond the capacity evidence. This is why revenue and operating profit diverge. The appropriate way to lift the later path is to add qualified processing content, credible additional capacity or better cost evidence.

Demand-side calibration is anchored to NT$1,363.035M actual Q2 testing revenue and 501k wafer equivalents, with packaging/PPI/other reconciled to NT$821.644M. The source reports no customer-specific chip counts or service contracts sufficient for a more precise end-device build. Effective fee and installed-capacity proxies keep the model auditable without treating total AI system spend as revenue.

Price-target path | the exact earnings window

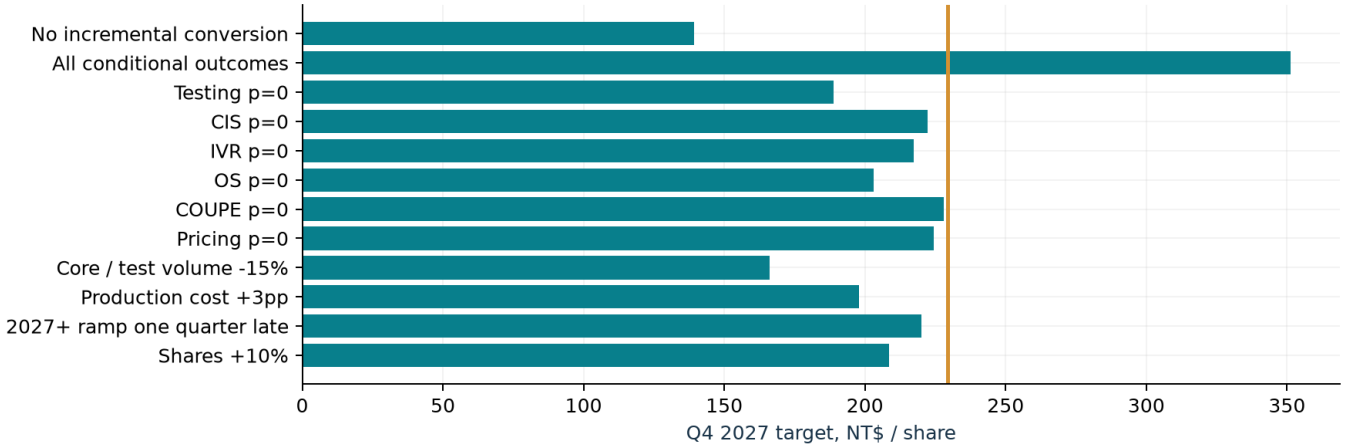


NT$/share. These are dated model targets, not company guidance; multiple 20x and diluted shares 272.040M throughout.

Target quarter	F4Q earnings window	F4Q OP, NT$m	Target, NT$
Q3 2026	Q3 2026 - Q2 2027	2,590.4	190.44
Q4 2026	Q4 2026 - Q3 2027	2,668.3	196.17
Q1 2027	Q1 2027 - Q4 2027	2,765.3	203.30
Q2 2027	Q2 2027 - Q1 2028	2,944.1	216.44
Q3 2027	Q3 2027 - Q2 2028	3,069.9	225.69
Q4 2027	Q4 2027 - Q3 2028	3,120.1	229.38
Q1 2028	Q1 2028 - Q4 2028	3,116.4	229.11
Q2 2028	Q2 2028 - Q1 2029	3,066.5	225.45
Q3 2028	Q3 2028 - Q2 2029	3,009.5	221.25
Q4 2028	Q4 2028 - Q3 2029	2,949.2	216.82
Q1 2029	Q1 2029 - Q4 2029	2,897.2	213.00
Q2 2029	Q2 2029 - Q1 2030	2,804.9	206.22
Q3 2029	Q3 2029 - Q2 2030	2,716.2	199.69
Q4 2029	Q4 2029 - Q3 2030	2,624.9	192.98
Q1 2030	Q1 2030 - Q4 2030	2,532.8	186.20

Every row applies the same AH-1 chain: quarterly service volumes and fees -> revenue -> product contribution -> factory cash cost and D&A -> ordinary opex plus net rental -> four-quarter statutory operating profit ->20x /272.040M diluted shares. No D&A addback, analyst price target or net-cash overlay is used.

What moves the target



Isolated sensitivities using the same common investment plan. The all-outcomes endpoint is a scenario, not a statistically estimated confidence bound.

Active Q4 2027 chain	Value
Earnings window	Q4 2027 through Q3 2028
Quarterly OP in window	782.7 + 764.7 + 771.9 + 800.8
Forward OP / diluted shares	3,120.080M /272.040M
Multiple / target	20x / NT$229.38
Full-conditional target	NT$351.18; all specified endpoints happen, same cost plan.

The target is most sensitive to accepted testing throughput, production costs and the scope of OS outsourcing. The one-quarter-delay test shifts incremental 2027+ customer conversion; it retains the small end 2026 IVR pilot and the planned depreciation schedule. It is a timing stress, not a change to the valuation method.

Cross-book and the next evidence that matters

Paired watch	Transmission	Do not infer
TSMC -> Xintec	More outsourced qualified process steps can expand service revenue.	TSMC AI capex or packaging sales are not Xintec revenue.
Chroma / WinWay -> testing	Test equipment and interfaces can benefit from greater test complexity.	An installed tester count does not reveal equipment vendor or Xintec economics.
LITE / COHR / Sivers -> optics	Optical-system adoption can support downstream packaging needs.	Laser scarcity or supplier margin does not pass automatically to Xintec.
VICR / IVR alternatives	Power-delivery density raises the value of effective integration.	Xintec processing fees are not licensing royalties or power-module ASPs.
ASE / Amkor / VisEra	Qualification and allocation alternatives; monitor breadth of awards.	Xintec has no demonstrated exclusive right to the whole architecture.

Checkpoint	Model action threshold
October9 / November5,2026	September revenue and Q3 results: replace estimates; test volume and GP against installed-capacity cost.
Year-end2026	IVR pilot/process acceptance: raise55% toward70% with customer-ready evidence; reduce toward30% if delayed.
H1 2027	CIS loading: raise65% toward80% with sustained ramp; lower toward40% after further delay.
2027 OS evidence	Process scope, asset loading and customer allocation:35% toward55% with independent support; toward15% if scope narrows.
Optical service content	Identify paid steps and volumes: conditional25% toward45% if credible; retain8.75% joint outcome until bridge improves.
Pricing / cost	Repeat fee evidence can raise30% pricing probability; rising yield/rework costs can offset the premium.

Coverage comparisons refer to the research universe, not a claim that every named company is held. VisEra (6789, Taiwan) describes passive silicon-photonics couplers and organic/encapsulation processes. Its technical capability informs competition; this update makes no new recommendation without a specific scarcity and large incremental profit mechanism. ASE, Amkor, ShunSin, FOCI and MSScorps are already covered. No additional company is added by this report.

Source register and precise remaining gaps

S1 Xintec Q2 2026 IFRS financial statements, authorized Aug 6. pp 4-8,24-30,36,38.
https://www.xintec.com.tw/eng/FIN/file/f/FinancialReports_2Q26E.pdf

S2 Xintec FY2025 annual report; ownership, capacity plan, business and competition.
https://www.xintec.com.tw/eng/FIN/file/A/Annual_reports_2025.pdf

S3 Official investor conferences: Feb 10 and Aug 14,2026.
https://www.xintec.com.tw/eng/CCD/IR_Investor_Conference.html

S4 Issuer optical-sensor, MEMS and customized-process product pages.
https://www.xintec.com.tw/eng/Sales/PS_Optical-Sensor-CSP.html

S5 Issuer monthly revenue refreshed Oct 12 through September; original event calendar retrieved Oct 5.
https://www.xintec.com.tw/eng/FIN/IR_Monthly-Revenue.html

S6 Audited FY2025 financial statements; historical financial and product data.
https://www.xintec.com.tw/eng/FIN/file/f/FinancialReports_4Q25E.pdf

S7 Economic Daily, Sep 30,2026; attributed supply-chain report, not company guidance.
https://udn.com/news/amp/story/7252/9784152

S8 Serenity, June 5,2026,15:15:06UTC; original text/image recovered through public mirror.
https://x.com/aleabitoreddit/status/2062916125235831046

S9 TSMC symposium announcement, Apr 22,2026; web issue dateApr 23.
https://pr.tsmc.com/english/news/3302

S10 ASE primary MEMS packaging overview; adjacent competitive capability.
https://ase.aseglobal.com/mems-sensors-packaging/

S11 Yahoo quote 3374.TWO, Oct 5 close; identity cross-checked to TPEx listing in issuer filing.
https://tw.stock.yahoo.com/quote/3374.TWO

S12 Issuer preliminary August-profit announcement mirrored by Yahoo; original MOPS security-blocked.
https://tw.stock.yahoo.com/quote/3374.TWO

S13 Xintec Q1 2026 statements; quarterly and cash-flow comparison.
https://www.xintec.com.tw/eng/FIN/file/f/FinancialReports_1Q26E.pdf

S4b Issuer customized process diagrams.
https://www.xintec.com.tw/eng/Sales/PS_Customized_Service_Introduction.html

S4c Issuer MEMS diagrams.
https://www.xintec.com.tw/eng/Sales/PS_MEMS_Sensor-Packaging.html

S14 VisEra technology capability; new research candidate only.
https://www.viseratech.com/technology/

S15 QQ_Timmy October 12 attributed foreign-broker roundup, delivered inQG3C R0; broker identity and capacity scope unresolved.
https://x.com/QQ_Timmy/status/2109436858640089476

Remaining gaps: complete primary call transcripts; original August-profit notice; exact October 5 share register; customer-level OS/CPO allocation and fees; product gross margins; tooling productivity, yield and total forward capex commitments. These affect volume, scope, cost and dilution sensitivity. They are not silently filled with reported facts.

Updated October 12,2026; market-price snapshot remains October 5,2026. All model amounts use NT$ millions except per-share prices and stated physical units. Individual-company Taiwan-endorsed IFRS financials; interim reviewed, annual audited. The cash proxy and all forecast inputs are estimates. Source images are embedded and retained at the point of use. Workbook and PDF use the same XINTEC model JSON; artifacts are current-state outputs, with version history stored separately.